Claims Financial Reserving Guide

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Audience: Claims adjusters and claims finance

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This guide describes how a case reserve is set and adjusted during the life of a claim. Reserving is a financial-reporting practice; it does not determine, and is not determined by, the actual coverage decision or payout computation described in the Claims Adjudication Guidelines.

1. What a Case Reserve Is

A case reserve is the adjuster's current best estimate of the total amount Meridian Mutual expects to ultimately pay on a claim, including any expense to investigate and settle it. It is set at first notice of loss and revised as more information becomes available, well before the final adjudication recommendation is drafted.

2. Initial Reserve Setting

At intake, before investigation is complete, an initial reserve is set using the best available information: the claim type, a preliminary damage estimate where one exists, and the applicable coverage limit as a ceiling. An initial reserve is necessarily an estimate and is expected to be revised — it is not the same figure as the deterministic payout computation, which is only run once Step 2 and Step 3 of the Claims Adjudication Guidelines are complete.

3. Reserve Revision Triggers

A reserve is revised when: a repair estimate is received and differs materially from the initial estimate, an exclusion is identified that changes the expected payout, a claim is redirected to total-loss handling under the Total Loss Valuation Methodology, or SIU referral changes the expected outcome. A reserve is not revised merely because time has passed with no new information.

4. Relationship to the Deterministic Payout Computation

Once the five-step adjudication sequence produces a computed payout figure (Claims Adjudication Guidelines, Step 4), the case reserve is updated to match that figure exactly, pending adjuster approval. The reserve never leads the computation — it follows it. A reserve set before computation is complete is explicitly an estimate, documented as such, and is never treated as if it were the final coverage determination.

5. Reserve for a Claim Under SIU Referral

A claim referred to SIU (Fraud Indicators Guide) retains its reserve at the pre-referral estimate unless investigation specifically changes the expected outcome — referral itself is not a basis to reduce a reserve to zero, since most referred claims clear and proceed to a normal payout.

6. Reserve for a Multi-Coverage-Part Claim

Where a single accident triggers more than one coverage part (see Claim Scenario Workbook, Scenario W12), each coverage part carries its own reserve component, reflecting that each is adjudicated and paid independently.

7. Reserve Adequacy Review

Reserves are reviewed periodically for adequacy across the claims portfolio, independent of any individual claim's adjudication status. An adequacy review finding does not itself change any individual claim's coverage determination — it is a financial-reporting exercise, and any claim-specific correction still goes through the same reopening and addendum process described in the Claims Handling Procedures Manual, Section 4.2.

8. Expense Reserve Component

In addition to the indemnity reserve (the expected payout to the policyholder or claimant), a separate expense reserve component covers anticipated costs of investigation, appraisal, and any SIU or subrogation activity on the claim. This expense component does not affect the amount owed to the policyholder, which is governed solely by the Policy Wording and the deterministic payout computation.